



INVESTOR BUSINESS PLAN · CONFIDENTIAL

The key to Quebec real estate — sell, buy together, invest.

Clé unifies five proven models on one verified platform: owner-direct selling without commission, a complete marketplace, group property purchase, regulated revenue-share investing, and a professional network — built for Montréal first, engineered for Canada.

Clé Technologies inc. (in formation) · Montréal, Québec

August 2026 · Draft for discussion · EN — version française sur demande

CONTENTS

- | | |
|--|---------------------------------------|
| 01 Executive summary | 07 Competitive landscape |
| 02 The market opportunity | 08 Regulatory strategy |
| 03 The product — built and clickable today | 09 Risks & mitigations |
| 04 Business model & unit economics | 10 The team |
| 05 Validation & roadmap | 11 The ask & use of funds |
| 06 Five-year financial projections | 12 Sources, methodology & disclaimers |

Quebecers pay ~\$2.1 billion a year in commissions.

Clé replaces the middle with a platform.

Quebec recorded **97,214 residential sales in 2025** — a third-best year on record — at a median of \$491,500 for a single-family home.¹ A typical ~5% commission means **\$24,600 per median sale**, an implied provincial commission pool of **\$1.9–2.35 billion annually**.^{1,4,11}

Quebec is already Canada's most commission-skeptical market: **an estimated 15–20% of homes sell without a broker** — the highest share in the country (sources diverge; estimates range up to 25%).²

DuProprio proved the model — \$45.6M revenue, positive EBITDA, an NPS of 61 versus the industry's 38 — but stalled as a one-product company, changing hands three times at a flat \$50–60M valuation.³ The lesson is not that the opportunity is small; it is that **a listing package alone has a ceiling**.

Clé stacks five engines on one verified network so every user compounds the value of the next: owner-direct listings (proven demand), professional subscriptions (LinkedIn economics), group property purchase (the co-ownership wave institutional capital is already backing — Ourboro alone has co-invested in 250+ homes with Scotiabank and CMHC behind it⁷), a regulated capital platform (exempt-market dealer economics), and discreet, capped advertising. A fully interactive, trilingual prototype with integrated AI is built and demonstrable today — live at ssocciarelli.github.io/cle-demo. The founding team and advisors are presented in §10; the plan states its pre-launch status plainly in §05.

QUEBEC MARKET
2025

\$47B

97,214 residential
sales¹

COMMISSION POOL

~\$2.1B/yr

at 4–6% rates (~5%
typical), quoted at
the conservative
end⁴

YEAR-5 REVENUE

\$24.5M

19% EBITDA margin;
breakeven in year 4

SEED ASK

\$3.5M

24-month runway;
covers cumulative
burn with buffer

A large, liquid market with a structural pricing anomaly

QUEBEC RESIDENTIAL MARKET — 2025	VOLUME	MEDIAN PRICE	IMPLIED VALUE
Single-family homes	63,210 (+8%)	\$491,500	\$31.1B
Condominiums	24,232 (+5%)	\$398,000	\$9.6B
Plexes (2–5 units)	9,477 (+13%)	\$660,000	\$6.3B
Total	97,214	—	≈ \$47.0B

Montréal CMA concentrates 47,019 sales — 48.4% of the province — with 2025 medians of \$622,500 (single-family) and \$425,000 (condo). Source: QPAREB annual data.¹ **Update, 2026:** the single-family median reached \$640,000 in Q1 2026 (+7% YoY; ≈\$650,000 by July per WOWA) while volumes cooled — Montréal sales –4% in Q1 and –10.5% YoY in July. A cooling, still-expensive market strengthens the cost-saving thesis and is treated as such throughout.¹ Category rows sum to 96,919; the reported provincial total of 97,214 includes ≈300 sales QPAREB does not attribute to a category.

Sizing the layers

VALUE DISPLACED (NOT OUR REVENUE)

~\$2.1B/yr (est.)

Quebec commission pool — the anomaly Clé's flat fees attack

TAM / SAM — FEE REVENUE, QC

≈ \$120M / \$55M

TAM: full FSBO conversion at Clé pricing + subscription & capital fees at maturity. SAM today: packages \$21–28M² + subscriptions + group & capital fees

SOM — OUR YEAR-5 PLAN

\$24.5M

Québec at depth + Ontario entry in years 4–5

Why now

- **Affordability is forcing collective ownership.** Median Montréal single-family prices rose 9% in 2025 to \$622,500 and a further ~7% YoY into 2026 (Q1: \$640,000)¹; co-buying platforms (Ourboro, Key, Pacaso's US\$72.5M round) show institutional conviction that pooled ownership is the next primitive.⁷
- **The FSBO incumbent is a harvest asset.** DuProprio, owned by a bank-insurer since 2020, has not shipped a second act; its own customers are the beachhead for a broader platform.³

- **Retail capital is structurally locked out.** Canada's entire start-up-crowdfunding channel moved only ~\$5M in its best year⁵ — not for lack of demand (US peers: Arrived US\$340M, Fundrise US\$3.3B AUM⁶) but for lack of a trusted, compliant consumer front-end. That is a product problem, and product problems are venture opportunities.
- **Québec subsidizes exactly this build.** CRIC R&D credits (up to 30%, available from year one), CDAE-IA e-business credits (30% combined, once the six-eligible-employee threshold is sustained), and the \$200M Fonds Impulsion (SAFE/KISS co-investment, \$250K–\$2M) lower the effective cost of our engineering roadmap.⁸

Five engines, one verified network — built and clickable today

Clé is not a concept deck. A fully interactive prototype — trilingual (FR/EN/IT), AI-assisted, with every flow working end-to-end — exists now and is demonstrated live in investor meetings.

1 · Proprio-direct (sell without commission)

Fixed packages at \$1,199 / \$1,599 / \$1,999 mirroring the market-validated ladder³: pro photos, coaching, FOR-SALE sign, notary on file. Listing wizard with AI pricing assessment, comparables-based suggestions, real photo upload, seller dashboard with leads, views and 48-hour follow-up nudges.

2 · Marketplace

Properties from \$450K condos to \$40M development sites; confidential business-for-sale listings gated behind e-signed NDAs with logged access; verified brokers and notaries attached to every file; favorites, alerts, price history, neighbourhood scores, Canadian-formula mortgage calculator.

3 · Buy groups (achat en groupe)

Start a purchase consortium on any listing: pooled down payments, 49.9% per-member cap, double-majority governance per art. 1026 C.c.Q., notarized co-ownership agreement, funds in notary trust, group offer flowing into a secure deal room.

4 · Capital platform

Revenue-share campaigns from \$100/unit under NI 45-110 (caps, all-or-nothing, 48-h withdrawal, risk forms — all modeled in-product), institutional-grade structured offerings, a financing wizard that routes each project to its correct legal lane, and a portfolio view with distribution schedules and annual buy-back windows.

5 · Professional network

LinkedIn-style profiles with a three-level verification ladder culminating in licence checks against OACIQ, OIQ, OAQ, CNQ, Barreau and RBQ registries; feed, messaging, quote requests, consultations — and discreet, hard-capped native advertising (at most 1 sponsored post in 6).

Clé IA

AI woven through the product: natural-language search ("condo à Rosemont sous 600k" → parsed, answered, linked), instant property assessments grounded in comparables, neighbourhood data and uploaded photos, and pricing guidance for sellers. Production architecture: Claude API with vision.

A working demonstration is available at the private link supplied with this document. Every figure and profile in the prototype is fictional; every control works.

Five revenue streams, each benchmarked to a proven price

STREAM	PRICING	BENCHMARK	YEAR-5 REVENUE
Owner-direct packages	\$1,199–\$1,999 flat (avg \$1,450)	Identical to the incumbent's validated 2025 ladder ³	\$18.0M
Subscriptions	Pro \$39/mo · Firm \$249/mo	LinkedIn Premium economics applied to a vertical network	\$2.5M
Buy-group fees	\$2,500 flat package	Non-contingent group-formation package (brokerage-law safe); vs. Ourboro's equity-share model	\$0.8M
Capital platform	2% partner-era → 5% + 0.75% trail	Under EMD/portal norms of 6–8% ⁵	\$2.5M
Discreet advertising	Native, labelled, hard-capped	Native only; 1-in-6 feed cap (≈17% ceiling) enforced in code	\$0.6M

Unit economics — pre-launch hypotheses, to be validated on first cohorts by month 12

SELLER ACQUISITION

5.3×

≈\$1,160 contribution (\$1,500 avg package – \$340 direct fulfillment) vs. ~\$220 blended CAC target — revenue on day one

PROFESSIONAL SUBSCRIBER

7.8×

≈\$1,170 LTV hypothesis (30-mo avg life ≈ 33%/yr churn; vertical-SaaS range) vs. ~\$150 CAC via the seller-side flywheel

THE FLYWHEEL

**Sellers → Pros
→ Capital**

Every listing recruits professionals; every professional feeds deal flow; every deal seeds investors

The de-risked path: revenue first, licence second

Where we are, plainly: pre-launch and pre-revenue. Validation to date is a complete working prototype (live at the link in §03), the market research in this plan, and the regulatory path mapped with primary sources. No signed users, waitlist counts or LOIs are claimed here — those are the first 6 months' work.

PHASE	TIMING	WHAT SHIPS	REGULATORY POSTURE
0 — Done	Today	Full interactive prototype: all five engines, trilingual, AI-assisted — publicly demonstrable	—
1 — Launch	Months 0–6	Network, Proprio-direct listings, marketplace, active buy-groups (notary-executed)	No securities licence required; OACIQ-boundary legal opinion; Law 25 program
2 — Capital via partner	Months 6–18	Revenue-share campaigns ≤\$1.5M through a registered funding portal (white-label)	NI 45-110 through partner; Clé earns tech & marketing fees
3 — Own dealer	Months 15–30	Clé Capital inc. registered as EMD: OM offerings, accredited rounds, \$10K crowdfunding tier	\$50K regulatory capital, CCO hired, AMF registration ⁵

Seed-period milestones (24 months): 1,200 paid listings · 700 Pro subscribers · 34 buy-groups closed (cumulative) · first \$2M GMV via partner portal · EMD application filed · ≈\$2.4M revenue in year 2 (≈\$3.4M annualized run-rate exiting the year).

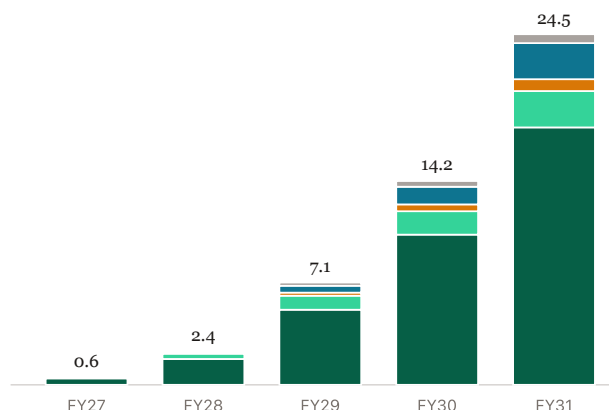
To \$24.5M revenue and a 19% EBITDA margin in five years

All figures CAD thousands, fiscal years. Illustrative projections from a parameterized model (source available in diligence); every assumption is listed below. Fulfillment costs are modeled explicitly, and capital-platform volumes are sized against *actual* Canadian exempt-market data — not US analogues.

REVENUE	FY27	FY28	FY29	FY30	FY31
Owner-direct packages	450	1,800	5,250	10,500	18,000
Subscriptions (Pro + Firm)	106	372	977	1,643	2,541
Buy-group fees	15	70	225	475	825
Capital platform (fees + trail)	0	40	475	1,225	2,525
Discreet advertising	30	90	220	400	620
Total revenue	601	2,372	7,147	14,243	24,511
COSTS & PROFITABILITY	FY27	FY28	FY29	FY30	FY31
Team (8 → 60 FTE, fully loaded)	944	1,652	3,068	4,956	7,080
Fulfillment — \$340/listing (photos, sign, coaching)	102	408	1,190	2,380	4,080
Marketing & growth	300	949	2,144	3,418	4,902
Compliance & legal (incl. EMD)	180	320	700	850	1,000
Technology & infrastructure	90	160	320	520	760
G&A (8% of revenue)	48	190	572	1,139	1,961
Total costs	1,664	3,679	7,994	13,264	19,783
EBITDA	(1,064)	(1,306)	(847)	979	4,728
EBITDA margin	−177%	−55%	−12%	7%	19%

Revenue by stream (\$M)

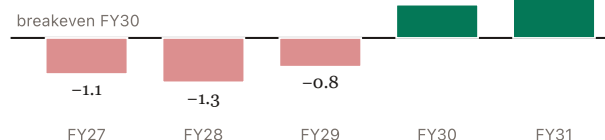
EBITDA (\$M)



Owner-direct Subscriptions Buy-groups

Capital Advertising

Sub-\$100K segments render below label size in early years; exact figures in the table above.



Cumulative EBITDA burn to breakeven: **≈ \$3.2M** — covered by the \$3.5M seed, before counting Québec tax-credit and matching leverage.

Key assumptions

- **Listings:** 300 → 12,000 paid listings by FY31 at a \$1,500 average package (benchmark: the incumbent's FY2017 revenue per listing of ≈\$1,170, ≈\$1,500 in today's dollars³). FY31 volume equals **62–82% of Quebec's current 14,600–19,400 annual FSBO sales**² — explicitly a displacement of DuProprio's Quebec base — *plus* Ontario contribution from FY30. At a more conservative 35% share of Quebec FSBO with no Ontario, FY31 owner-direct revenue is ≈\$8.6M and breakeven moves ~3 quarters into FY31.
- **Fulfillment:** \$340 per listing for photography, signage and coaching time through a volume partner network — modeled as a direct cost line, not buried.
- **Subscriptions:** 200 → 4,600 Pro members (\$468/yr) against ~20,000+ licensed brokers, notaries, inspectors and contractors in Quebec; 130 firm accounts by FY31; 33%/yr churn hypothesis pending cohort data.
- **Capital platform:** GMV \$2M (FY28, partner portal) → \$40M (FY31, own EMD) at a blended 5% placement fee + 0.75% trailing administration. **FY31 lane split: ~\$4M under 45-110** (crowdfunding tier — comparable to today's entire national channel⁵), **~\$26M via offering-memorandum raises and ~\$10M accredited** — the lanes where EMD economics actually live and where no issuer caps apply. For scale: FrontFundr processed \$285M over ten years nationally⁵; our plan assumes Quebec category leadership, not US-style volumes.
- **Costs:** Montréal fully-loaded average of \$118K/FTE; marketing declining from 50% to 20% of revenue as the flywheel compounds; the compliance line carries the EMD build (capital, CCO, audits) from FY29.⁵
- **Not modeled (upside):** CRIC credits from year one and CDAE-IA credits after the six-employee gate, Fonds Impulsion co-investment, flat-fee (non-contingent) mortgage referrals via AMF-licensed partners, business-listing NDA fees.⁸

Sensitivity. If the capital platform is delayed a full year (EMD friction), FY31 revenue falls $\approx$ \$1.5M to \$23.0M and FY30 breakeven slips $\sim$ 2 quarters — the listing and subscription engines still carry the company. No single engine failure is fatal; that is the point of five.

Every competitor runs one engine. Clé runs the network.

PLAYER	MODEL	SCALE SIGNAL	THE GAP CLÉ EXPLOITS
DuProprio (Desjardins)	FSBO packages	~39K listings/yr, \$45.6M revenue, NPS 61 — as of FY2017, its last public disclosure; flat \$50–60M valuation across three sales, 2015–2020 ³	One product, no network, no capital layer; five years of bank ownership without a second act
Centris / brokers	MLS + ~5% commission	est. \$2.1B/yr pool ^{4,11}	The pricing anomaly itself; brokers join Clé as verified pros instead
addy	Fractional investing	50K members but ~\$26M invested in 7 yrs; \$100K BCSC penalty 2025 ⁹	Trust deficit — Clé is compliance-first by architecture, not retrofit
Willow	Fractional (PropSharing)	~US\$1M raised; sold 2023 ⁶	Standalone fractional lacks an audience; Clé's marketplace supplies one
Ourboro / Key	Co-ownership capital	250+ homes, >\$200M value; Scotiabank & CMHC backing ⁷	They co-invest their fund; Clé is the software rails for anyone's group
FrontFundr	Funding portal	\$285M / 10 yrs, 93% of the 45–110 channel ⁵	Horizontal portal, no real-estate depth or property marketplace

The Purplebricks question, pre-empted. The best-known fixed-fee experiment collapsed and sold for £1 in the UK. Its failure modes are specific: cash-burning multi-country expansion, a salaried hybrid-agent payroll, and a market with no FSBO culture. Quebec is the opposite setup — an estimated 15–20% FSBO share built over 25 years², no agent payroll in our model (partner-fulfilled packages), and a single-province beachhead. DuProprio's decade of positive EBITDA in this exact market³ is the counter-example that Quebec fixed-fee works.

If Desjardins responds — a 30% package price cut costs DuProprio ≈\$14M of annual revenue on FY2017 volumes to defend a single product line; Clé's contribution comes from five streams, so matching that cut costs us ≈7% of FY31 revenue. Their five-year shipping record under bank ownership is the practical moat; our answer to a network feature launch is 18 months of head start on verification, buy-groups and the capital stack.

The FSBO objection, answered. Broker-funded studies claim private sales fetch 15–20% less.¹⁰

Clé's counter is structural: AI-grounded pricing against live comparables, mandatory notary involvement, minimum photo standards, negotiation coaching, and buyer-side verification — the exact failure modes those studies exploit, productized away. DuProprio's FY2017 NPS of 61 versus the industry's 38 shows which side customers believed.³

Compliance as product architecture, not paperwork

- **Brokerage boundary (OACIQ).** Owner-direct selling is legal in Quebec; the platform advertises and coaches but never represents or negotiates. DuProprio litigated and validated this line; we are designed to operate inside it, and a standing OACIQ-boundary legal opinion is a Phase-1 deliverable with counsel retained at close (§10, §11).
- **Active co-purchase ≠ securities.** Buy-group members hold title or voting LP units and govern by double majority (art. 1026 C.c.Q.)¹² — profits do not depend on others' efforts, keeping groups outside distribution rules. The product enforces the guardrails: caps, votes, notarized agreements, notary trust accounts.
- **Capital in three lanes.** ≤\$1.5M public raises under NI 45-110 through a registered portal (investor caps \$2,500/\$10,000, all-or-nothing, 48-h withdrawal, F1/F2 forms — French-first in Quebec); larger raises via offering memorandum; accredited rounds uncapped. Revenue-share is delivered through **limited-partnership units** — an eligible security — never bare royalty contracts.⁵
- **The addy lesson, internalized.** addy's \$100K penalty for pre-registration trading⁹ defines our sequencing: Phase 1 earns revenue with zero securities exposure; Phase 2 rides a registered partner; Phase 3 registers Clé Capital inc. as an EMD (\$50K capital, designated CCO, audited filings⁵) inside a separate entity that never touches platform operations.
- **Privacy & language.** Law 25 program (privacy officer, PIAs, consent registry) and Charter-compliant French-first product — both already reflected in the prototype.

What we worry about, and what we do about it

RISK	MITIGATION
Canadian retail-investing channel stays small (today ~\$5M/yr under 45-110 ⁵)	Capital is deliberately ~10% of FY31 revenue and sized in OM/accredited lanes; listings + subscriptions alone reach profitability (see sensitivity). Upside optionality, not dependency.
Desjardins reignites DuProprio against us	See §07: a defensive price war costs them ~\$14M/yr on one product vs. ~7% of our five-stream FY31 revenue; their observed shipping cadence under bank ownership prices in our 18-month head start.
EMD registration slips	Partner-portal Phase 2 continues indefinitely; sequencing means no revenue depends on the licence date.
Real-estate cycle turns	FSBO share historically <i>rises</i> in soft markets as sellers protect equity; subscriptions and coaching are counter-cyclical.
Group purchases generate disputes	Statutory governance defaults, mandatory notarized conventions, reserve funds and exit clauses are enforced in-product — the disputes that kill co-ownership are precisely the unpapered ones.
Two-sided cold start	Sellers arrive for a ~\$23K saving (single-player value); professionals follow the leads; capital follows the deal flow. Each engine seeds the next — no side waits for the other.

Who is behind Clé

To be completed by the founder before circulation — the bracketed fields below are intentional placeholders. Investors fund people first; this page should carry the strongest proof available.

[Founder name] — Founder & CEO

[Two lines: directly relevant proof — real-estate operating experience, prior ventures, transactions closed, community standing in the Montréal market. Why this person wins this market.]

[Co-founder / CTO name]

[Two lines: product and engineering track record; the prototype demonstrates the bar. If unfilled: "Recruiting — funded by this round; interim engineering led by (agency/contractor)."]

[Securities counsel — firm]

[Named Quebec securities lawyer/firm advising on the 45-110/OM/EMD path — the credibility anchor for §08.]

[Partner notary — office]

[Named notarial office anchoring FSBO closings, buy-group conventions and trust accounts.]

Stated gaps & hiring plan

- **Chief Compliance Officer** — hired in Phase 3 ahead of the EMD application (budgeted at market comp in §06).⁵
- **Head of Growth (Québec)** — first senior hire post-close; bilingual consumer-marketplace background.
- **Advisory board** — targeting one FSBO-industry operator, one exempt-market executive, one co-ownership practitioner.

\$3.5M seed — 24 months through launch to the capital phase

Use of funds

Product & engineering	36% • \$1.26M
Growth & brand (Montréal beachhead)	28% • \$0.98M
Compliance, legal & EMD build	18% • \$0.63M
Operations & reserve	18% • \$0.63M

Québec leverage not counted in runway: CRIC credits from year one, CDAE-IA credits once six eligible employees are sustained, and Fonds Impulsion co-investment can extend effective runway by 4–6 months.⁸

What \$3.5M buys

- Production build of the five engines (prototype → platform), FR/EN/IT
- Montréal launch: 1,200 paid listings, 700 Pro subscribers, 34 buy-groups closed (cumulative)
- Registered-portal partnership live; first \$2M campaign GMV
- Clé Capital inc. EMD application filed with the AMF
- ≈\$2.4M revenue in year 2 (≈\$3.4M annualized run-rate exiting the year) — positioned for a Series A into the capital-platform scale-up

Canadian proptech attracted **C\$450M across 30 rounds in 2025⁸**; co-ownership specifically drew institutional cheques (Scotiabank, CMHC, Pacaso's US\$72.5M). Clé sits at the intersection of the two funded theses — with working software, live at ssocciarelli.github.io/cle-demo.

Every number has a home

1. QPAREB / APCIQ annual releases, Jan 2025 & Jan 2026 (2025 transactions, medians, Montréal CMA).
2. OwnerListed Quebec FSBO guide (2026); Purplebricks Group RNS (July 2018) for the 20.2% historical peak.
3. DuProprio public pricing (2025); Purplebricks RNS 2018 (FY2017 revenue/EBITDA, NPS, per-listing revenue); Desjardins acquisition release (2020).
4. XpertSource / clicagents commission surveys; pool computed on QPAREB volumes × the 4–6% commission range (~5% typical), quoted at the conservative ~\$2.1B.
5. NI 45-110 consolidated text (FCNB, 2021); NI 31-103 EMD capital requirements; Farris/PCMA EMD cost analyses; FrontFundr FY2025 results release.
6. Arrived and Fundrise public metrics; Willow/Guiker transaction reporting (BetaKit, 2023).
7. Ourboro press releases (250+ homes, Scotiabank/CMHC); Key seed round (BetaKit, 2022); Pacaso Reg A+ (2025).
8. CVCA Year-End 2025; PropTech Collective 2025 (RENX/BetaKit); Investissement Québec — CRIC, CDAE-IA (2026 rules), Fonds Impulsion.
9. BCSC settlement release 2025-15 (addy Technology Corp.).
10. Groupe Mackay / QPAREB-sourced FSBO discount claims — treated as a contested industry position.
11. Statistics Canada, real-estate brokerage industry operating revenue, 2023 — corroboration of the commission pool.
12. Civil Code of Québec, art. 1026 (co-ownership decisions); Chambre des notaires guidance on indivision agreements.

Methodology

Market figures were compiled via structured multi-source research with conflict-flagging (diverging estimates are cited as ranges; the most conservative documented figure is preferred). Projections come from a parameterized five-year model whose every assumption appears in §06; the model is available in source form. This document was drafted with AI research assistance under human direction, then subjected to an adversarial review (investor-perspective critique and independent arithmetic verification) whose corrections are incorporated. All primary figures should be independently re-verified in diligence.

Important notices. This document is a confidential draft prepared for discussion with prospective investors and advisors. It is not an offering document, prospectus, or solicitation of securities, and nothing in it constitutes legal, tax or investment advice. Any offering of Clé securities, if undertaken, would be made only to qualifying investors under available prospectus exemptions of applicable Canadian securities legislation (including Regulation 45-106 respecting Prospectus Exemptions (Québec)) and only through definitive subscription documents; no securities regulatory authority has reviewed or passed upon anything described herein. Clé currently holds no licence under Quebec's Real Estate Brokerage Act (OACIQ) and no registration with the AMF, and carries on no regulated activity; regulated features shown in the demonstration are simulations. Version française disponible sur demande. Financial projections are illustrative targets, not forecasts or guarantees; actual results will differ materially. The Clé product demonstration contains exclusively fictional people, properties and transactions.

Company name, entity structure, team composition and figures are subject to change upon incorporation and legal review. © 2026 — Clé (project). Prepared August 2026.